

CHAPTER 12

Investing Mistakes and Pitfalls to Avoid

Clever girls know ... mistakes are valuable lessons and learning from the mistakes of others can put you ahead on your journey to success.

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There are a lot of mistakes that investors can make. Sometimes mistakes happen due to poor investment decisions and sometimes they happen due to oversight. If you read my first book, *Clever Girl Finance: Ditch Debt, Save Money and Build Real Wealth*, then you know all about my designer-handbag-buying habit and how I stopped saving as much as I could have and started buying designer handbags that I rarely used. After realizing so many expensive handbags didn't make sense for my lifestyle, I sold them (some at a profit due to the various designers' brand popularity), but I was still disappointed that I had blindly invested in the wrong thing (handbags). I say this because if I had invested that money in the stock market instead, then today I would have over 10 times the money I spent on those handbags. *Hmmm*. Let's not talk about it.

As you go through life, there are also totally unexpected things that can throw you off the path of your long-term goals. Take my friend, Sheryl Hickerson, CEO of Females and Finances and the founder of the Facebook group of the same name, who shared this unplanned life transition that shook up her long-term financial plans:

“I don't want to be married to you anymore.” Those are the words my ex-husband said to me after twenty-four years of marriage via mobile phone, not even to my face. I remember driving home and finding our bank accounts were emptied, retirement plans gone, and all my dreams of settling into my second stage of life were finished.

Despite this devastating situation, Sheryl is now in full recovery mode and thriving: